Restructuring Financial Statements

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In strategy work it is useful to restructure a company's financial statements to accomplish two things: (1) to focus on the long-term rather than short-term financial structure and efficiency, and (2) to generate measures which are useful in valuation. To do this it is important to have internally consistent definitions of invested capital, free cash flow, and the cost of capital. The definitions used here are consistent with those given in *Valuation: Measuring and Managing the Value of Companies,* by Copeland, Koller, and Murrin, second edition, John Wiley & Sons, 1994. Refer to this useful reference for details on dealing with inflation, foreign exchange, pension plans, preferred stock, minority interests, etc.

Adjusting the Income Statement to Produce NOPLAT

NOPLAT is the key earnings concept. NOPLAT (Net Operating Profit Less Adjusted Taxes) is what the after-tax operating income would be were the company unlevered. The emphasis here is on the two qualifiers *operating* and *unlevered*. To arrive at NOPLAT we adjust both EBIT (earnings before interest and taxes) and Taxes. EBIT is not a technically defined term and is often not directly reported. Even when reported, it often includes interest income and amortization expense, which we wish to exclude. On most income statements, EBIT will be labeled Operating Income. In any event, our intention is to include operating income, but not interest income, and to avoid deducting interest, lease, and amortization expenses. Note that EBIT *does* include depreciation expense. To adjust the EBIT figure normally provided we must

- Add back to EBIT any amortization of goodwill expense that may be included in it. This is a non-cash non-deductable expense. It distorts the income available to investors.
- Subtract from EBIT any interest income. Interest income is non-operating income.
- Add back to EBIT any lease expenses that may be included in it. Lease expenses are like interest and should not be included in EBIT.

Next we must adjust the "Provision for Income Taxes" figure for these adjustments and for non-operating issues. The Cash Taxes on EBIT are computed by starting with the reported provision for taxes adjusting as follows:

- Subtract the portion of the tax provision that is deferred. Sometimes this amount is explicitly stated; other times one must look at the increase in deferred tax liability. The "Deferred Taxes" liability account accumulates the difference between cash taxes paid and taxes reported on the income statement. This difference normally arises because the company uses straight-line depreciation for reporting and accelerated depreciation for tax purposes. The increase in this liability in any year is the degree to which the income statement overstates the actual cash taxes paid. Hence we add this increase to net income to undo this distortion. Sometimes it is necessary to combine both long and short-term deferred-tax accounts, and less frequently it is necessary to net deferred-tax liability accounts against deferred-tax

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asset accounts. Sometimes the effects of acquisitions render the increase in

Exhibit 1—Geneeral Mills Statement of Income

	2006	2007
Sales/Turnover (Net)	12,442	13,652
Operating Income Before Depreciation	2,518	2,740
Depreciation and Amortization - Total	421	442
Amortization of Intangibles	-	-
Operating Income After Depreciation	2,097	2,298
Interest and Related Expense	461	454
Nonoperating Income (Expense) - Total	107	126
Nonoperating Income (Expense) - Excluding Interest Income	76	98
Interest Income - Total	31	27
Special Items	(39)	(53)
Pretax Income	1,704	1,917
Income Taxes - Total	560	622
Minority Interest - Income Account	-	-
Net Income (Loss)	1,144	1,287
EBIT	2,097	2,298
NOPLAT (38% tax rate)	1,300	1,425

deferred tax liability meaningless for correcting taxes to a cash basis..

- Since we have taken out interest expense, we must adjust the taxes to what they would have been without interest expense deductions. Add the tax shield on interest expense (T×IntExp). Here, T is the marginal corporate income tax rate.
- Similarly, since lease payments have been taken out of EBIT. we must also adjust taxes to what they would have been without them. Add the tax shield on lease expenses.
- Subtract the taxes on interest income (to match the elimination of interest income from EBIT).
- Subtract taxes on non-operating (non-recurring) income (i.e., income from discontinued operations, unrelated subsidiaries, capital gains on sales, foreign-exchange gains). We wish to concentrate on operations and not count non-recurring non-operating income. If there are predictable recurring income items in non-operating income, they should probably be added to EBIT, in which case you should not adjust the tax provision for that amount.

To illustrate the computation of NOPLAT, consider the 2006-2007 income statement of General Mills (Error: Reference source not found). There EBIT is labeled "Operating Income after Depreciation," so we simply compute NOPLAT as EBIT*(1-T).

Adjusting the Balance Sheet to Produce Invested Capital

The balance sheet adjustments are as follows:

- Subtract excess cash and/or marketable securities from current assets and from equity. The resulting current asset account is named *adjusted current assets*. Most companies require between 0.5% and 2% of sales in cash and/or marketable

securities to support operations, each industry having its own norms. When much more than this amount is held, it should be removed from the balance sheet as it is not a "structural" policy and is not supporting business operations.

- Look at subtracting goodwill from the appropriate asset account and from equity. Goodwill arises when firms pay more for acquisitions than book value. It is of-ten useful to work with invested capital numbers based on eliminating goodwill, and alternate figures without this elimination.
- Move net deferred tax liabilities into the equity account.
- Move any interest-bearing debt (or capitalized leases) out of current assets and add to the long-term debt account. The remaining *adjusted current liabilities* are all non-interest bearing.
- Net adjusted current liabilities against adjusted current assets to produce adjusted working capital.
- Net the remaining Other Liabilities against the remaining Other Assets to give Net Other Assets.
- Capitalize any operating leases that have not been capitalized and add to both assets and liabilities.

To illustrate these balance sheet adjustments, again consider the 2006-2007 financial statements of General Mills.

Excess cash was estimated as cash held over 3% of revenues. The company's balance sheet showed an item for capitalized lease obligations ($23 and $20 million for 2006-07), but notes also showed non-capitalized lease obligations of $242 and $296 over the next five years. The capital value of these leases was estimated as 7*(L/5), where L is the reported 5-year obligation. The multiplier of 7 is the ratio of value to annual lease payments for a 10-year 7% lease.

The consequences of all these adjustments are a much simplified balance sheet shown in Exhibit XX. Stockholders' equity has almost disappeared—the consequence of removing the huge goodwill account. Given this data, we can compute ROIC as ROIC = NOPLAT / Average Invested Capital = 1425/7916 = 18%. a very healthy number. On the other hand, if we put goodwill back into our balance sheet, average "invested" capital rises to $14,727 million and ROIC falls to 9.7%.

Computing EVA

The popular EVA metric is easily computed from these figures. By definition,

$$EVA = NOPLAT – WACC*InvestedCapital.$$

The idea is to deduct from NOPLAT a charge for the capital invested into the firm. If we assume that General Mill's WACC was 8% in 2007, this gives

$$EVA = 1425 - 0.08*7916 = \$792 \qquad \text{(excluding goodwill)}$$

and

$$EVA = 1425 - 0.08*14727 = \$247 \qquad \text{(including goodwill).}$$

Leaving out goodwill omits the fact that shareholders have "invested" in high payments for acquired companies. Counting goodwill in invested capital mixes apples and oranges. It marks up the

value of assets acquired via recent acquisition, but does not mark up the company's original investments

Exhibit 2—General Mills Balance Sheet	2006	2007	Adjustments
Current Assets			
Cash and Short-Term Investments- Total	417	674	Figure excess
Cash	417	661	
Short-Term Investments	-	13	
Receivables	1,119	1,369	
Inventories	1,174	1,367	
Current Assets - Other	344	210	
Current Assets - Total	3,054	3,620	
Non-Current Assets			
Property Plant and Equipment – Net	3,014	3,108	Add in capitalized leases here and to ShEq
Investment and Advances - Equity	295	279	
Investment and Advances - Other	23	126	
Intangible Assets - Total	10,529	10,563	
Goodwill	6,835	6,786	Zero out and deduct from ShEq
Intangibles - other	3,694	3,777	
Assets – Other	1,269	1,345	
Assets - Total	**18,184**	**19,042**	
LIABILITIES & SHAREHOLDERS' EQUITY			
Current Liabilities			
Debt in Current Liabilities	2,988	2,651	Move to LT Liab.
Long-Term Debt Due in One Year	1,734	442	
Notes Payable (Short-Term Borrowings)	1,254	2,209	
Account Payable/Creditors - Trade	778	937	Net these against current assets
Income Taxes Payable	861	67	
Current Liabilities - Other	1,218	1,201	
Current Liabilities - Total	5,845	4,856	
Long-Term Liabilities			
Long-Term Debt - Total	3,218	4,349	
Deferred Taxes and Investment Tax Credit	1,433	1,455	Move to ShEq
Liabilities - Other	1,230	1,924	
Liabilities - Total	11,726	12,584	
Minority Interest - Balance Sheet	1,139	242	
Shareholders' Equity			
Preferred/Preference Stock (Capital) - Total	-	-	

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Exhibit 2—Geneeral Mills Statement of Income

Exhibit 3—Adjustments to the Balance Sheet Accounts

	2006	2007
Starting Current Liabilities	5,845	4,856
Less Debt	2,988	2,651
Adjusted Cur. Liab.	2,857	2,206
Starting Current Assets	3,054	3,620
Less Excess Cash	44	265
Less Adj. Liab.	2,857	2,206
Adj. Working Capital	153	1,150
Starting Shareholders' Equity	5,319	6,216
Plus Deferred Taxes	1,433	1,455
Less Goodwill	6,835	6,786
Less Excess Cash	44	265
Adj. Shareholders' Equity	(127)	620
Starting Long-Term Liabilities	5,881	7,727
Plus Debt in Current Assets	2,988	2,651
Less Deferred Taxes	1,433	1,455
Plus capitalized lease obl.	691	845
Less Liabilities (Other)	1,230	1,924
Adj. Liabilities/Debt	6,897	7,844
Starting Non-Current Assets	15,130	15,422
Less Goodwill	6,835	6,786
Less Liabilities (other)	1,230	1,924
Plus capitalized lease obl.	339	414
Long-Term Assets	7,756	7,556

Exhibit 4—Simplified Balance Sheet

	2006	2007
Adj. Working Capital	153	1,150
Long-Term Assets	7,756	7,556
Invested Capital	**7,910**	**8,706**
Adj, Liabilities	6,897	7,844
Adj. Shareholders' Equity	(127)	620
Minority Interest	1,139	242
Invested Capital	**7,910**	**8,706**